

Staff Report – Special Use Permit: Oil & Gas Support Services

June 1, 2011

Updated June 8, 2011

Overview:

The recent oil exploration activity that has evolved quickly in our community is resulting in the need for locations for oil and gas service uses, including water haulers and pipe storage. Due to the currently unknown nature of the extent of the oil play in our area, there is some reluctance to develop storage sites to the full breadth of City requirements until such time as the true extent of the play is better understood. The purpose of this Special Use Permit would allow for placement of oil and gas support uses on properties while deferring specific land development requirements, like landscaping and connection to water and sewer facilities, until the full extent of the oil play can be determined.

Key Regulatory Provisions:

- The site shall be zoned HI, Heavy Industrial. The purpose of restricting the use of this permit type to is so that these uses are located at a distance from any residential uses that might be impacted.
- The site improvements that may be deferred by the Governing Body are limited to landscaping requirements, right of way improvements, parking lot surface paving, or connection to City water or sewer as required by Code.
- The deferral period is limited to 2-years.
- A full site plan shall be submitted illustrating the full scope of development requirements as required by City Code, including those elements that have been requested for deferral. The Special Use Permit shall be submitted concurrently to be approved by the Governing Body to determine if it is appropriate to defer the requested improvements.
- The Special Use Permit does require that all outside storage be screened from rights-of-way and neighboring properties in order to mitigate visual impacts on adjacent properties.

Planning Commission Recommendation: Updated 6/8/11

The City of Cheyenne Planning Commission recommended approval of the ordinance by a unanimous vote of 6-0 on June 6, 2011, including staff recommendations 1-8 and reflecting key clarifications discussed during the meeting. Key discussions included the following:

- a. Desire to provide some additional language defining uses allowed.
- b. Describing that uses requiring restroom facilities would not be allowed.
- c. Some additional clarification and flexibility on the bonding requirement.
- d. Discussion related to limiting the use to Heavy Industrial. General commentary was that the limitation was appropriate given the expectation of this type of use in a Heavy Industrial Zone District. Additionally, there was discussion on the posted notice requirement and that this was reasonable due to the nature of the uses allowed in the zone district.

Attorney Review: Update 6/8/11

Upon review of the ordinance, several formatting and organizational modifications were required. The ordinance submitted for Council review reflects these modifications. Generally, the changes relate the headings and overall organization of the ordinance.

Staff Recommendations:

Staff recommends adoption of the ordinance with the following conditions #1 through #8:

- 1.) Prior to submitting the ordinance to the Governing Body, modify the ordinance to address any concerns from the City Attorney.
- 2.) Delete the following language in G.3.c. “and state the specific reasons for denial.”
- 3.) Delete the following language in G.4. “A Special Use Permit may not be issued by the City Council for the same property, nor for the same applicant within 1 year following the expiration of the previously approved Special Use Permit.”
- 4.) Add language clarifying that the Site Plan submittal includes standard requirements for traffic and drainage studies.
- 5.) Provide a clear definition of what “Oil and Gas Support Services” include specifically.
- 6.) Exclude “Maintenance” activities from the definition of allowed uses.
- 7.) Add “Adequacy of infrastructure supporting the site” as one of the review criteria.
- 8.) Add language requiring a mitigation plan and bond to ensure site is restored following the Special Use.

Comment Received:

Building Department: Recommend adding new sections –

I. Responsibility for Compliance. The permit applicant and the owner of the land shall be jointly responsible for compliance with the terms of the Special Use Permit and all other applicable City of Cheyenne regulations.

J. Conclusion of Permit. At the end of the term of the Special Use Permit, the permit applicant and the owner of the land shall ensure that the land and all roads adjacent to the property are in the same condition as when the Special Use Permit was issued.

Urban Planning:

I recommend deleting the language in G.3.c. “and state the specific reasons for denial.” This type of statement is more appropriate for administrative decisions. Also, delete the language in G.4. “A Special Use Permit may not be issued by the City Council for the same property, nor for the same applicant within 1 year following the expiration of the previously approved Special Use Permit.” This language could be perceived to limit Council’s approval authority inappropriately.

Engineering:

With review of the referenced draft ordinance, I would like to express the following concerns about the possible deferral of specific site improvements under the Special Use Permit. Specifically, health and safety concerns such as drainage and traffic should not be left as negotiable items thrust upon City Council and staff to defend. It is not clear whether drainage or traffic will be assessed with the initial site

plan process. I'm thinking the applicants will want to automatically defer those studies and at that point we will have lost the battle. Although temporary, some of these activities could have grave impacts that we shouldn't even suggest could go un-mitigated.

A specific concern will be site disturbances that increase storm water runoff and release sediment. Any of the activities described would likely destroy the grass covering, increase runoff, cause erosion, and release sediment or track mud. With our MS4 permit through DEQ/EPA and the TMDL on Crow Creek for sediment impairment, we can't turn a blind eye, nor can City Council.

I suggest exceptions to the deferral process to include 1) storm water management and 2) storm water pollution prevention. We should expect a simple drainage analysis that would call for some form of minimal detention that would also provide a BMP for sediment control under a Storm Water Pollution Prevention Plan. We're still trying to determine if we can force them into a SWPPP, but that could provide for the final closure and restoration of the site. Tracking devices may also be required. I further believe as a minimum, the applicant should submit a transportation worksheet and we'll decide if a greater TIS is required.

NOTE: The requirements for a Site Plan would require that traffic and drainage impacts be considered as is standard practice with a Site Plan. Additionally, staff commentary regarding the elements requested to be deferred would be forwarded to the Governing Body for consideration.

Additional comments received from Engineering include:

- 1.) Eliminate maintenance from the permissible uses in 17.116.155(c). With maintenance operations, there is too much possibility of spilling oil and washing of contaminants off of vehicles and into the drainage system. With modern day environmental regulations, maintenance is an activity best conducted in a permanent location.
- 2.) As an MS4 community, the City is ultimately responsible to DEQ (and ultimately EPA) for any contaminants (including sediment) that get into the creeks. If we start allowing people to start skipping parts of the system, we need to have a well thought out plan for how we're still going to meet our obligations.
- 3.) Adequacy of existing infrastructure (roads, drainage, fire hydrants, etc) should be a review criteria.
- 4.) A remediation plan and a bond to ensure remediation takes place should be included in the ordinance.

Laramie County Planning:

1. The definition of "Oil and Gas Support Services" is unclear and could be construed to mean any commercial enterprise that provides services to the oil and gas industry. A definition for what is included or excluded should be provided.
2. This ordinance seems to target a specific industry. The intent to provide modified permitting and site planning requirements for land uses that are temporary in nature is appropriate and supported; however, equal opportunities should be available for any

commercial enterprise to obtain this special use permit. The fact that this benefits one specific industry may in fact be viewed as discriminatory by other similar industries and result in unfair competition claims. Since this requires a public review process and definitive criteria, the application to any temporary industrial use meeting the criteria should be considered.

3. How will properties with existing permanent facilities which are non-conforming with regards to the site requirements be treated if an application is submitted?
4. The County requests the ability to review any application where access to a County road is anticipated. The County will reserve the right to require improvements to those roads to handle the increase in traffic type and number.
5. Screening of outdoor storage with respect to adjacent properties when those properties are of the same or higher intense use could be minimized since the uses are similar and screening will have little if any impact to the adjacent properties.
6. Drainage and traffic studies should still be required to identify and mitigate impacts or impervious areas and increased traffic.

Attorney: No comment at this time. This ordinance is subject to review and revision prior to placement on the agenda for City Council.

No Comment: Environmental Health, MPO, Public Works, City Fire Department, Staff Engineer, Police Department.

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